



Market View

In our view, **this week's macro data tempered hopes for aggressive rate cuts, firmed the dollar, and tightened financial conditions.** The BEA's [third estimate](#) lifted Q2 GDP to 3.8% (annualized), signaling firmer underlying demand than earlier prints implied. At the same time, [August durable goods](#) rebounded +2.9% M/M (ex-transportation +0.4%), and core capital-goods orders—a key proxy for business investment—rose +0.6% M/M. [Weekly jobless claims](#) fell to 218k, pointing to a labor market that's softening but not deteriorating to the extent that previous data implied. Taken together, we think these prints indicate stronger-than-expected growth and labor conditions, weakening the case for rapid easing amidst sticky inflation. Markets appear to be pricing the shift: rates edged higher and the DXY approached a three-week high, tightening dollar liquidity at the margin while crypto pulled back.

From a more global perspective, **our custom M2 liquidity index suggests liquidity headwinds starting in November.** Our custom [Global M2 Liquidity Index](#)—an optimized blend of money-supply growth that leads bitcoin by 110 days—inflects downward starting in November. Because the gauge offers ~0.9 correlation with BTC across 1-month to 3-year windows, we think there may be a good chance that the inflection foreshadows liquidity headwinds into year-end (Chart 1). However, the index also suggests favorable liquidity conditions in October which could support risk assets in the short term.

Chart 1. Custom M2 liquidity index forecasts drawdown starting in early November

Beyond macro, **we think the weekend's crypto liquidations were a consequence of positioning stress** that had been flashing warning signals for a few weeks. As we discussed in our [Crypto Market Positioning report](#), altcoin open interest dominance sat well above the 1.4 threshold that often precedes major liquidations. This past weekend, the ratio hit 1.7 before we saw ~\$1.8B of forced unwinds as longs were liquidated across the market (Chart 2). Even after the flush, the ratio remains elevated at 1.6, which we think highlights the continued need for cautious positioning around upcoming data releases that could jolt rates and the dollar.

Chart 2. Altcoin open interest dominance ratio

[Avalanche deep dive](#)

We think that **new ETF interest in AVAX adds a fresh catalyst that could convert improving fundamentals into new inflows.**

On September 15, Bitwise [filed](#) for a spot AVAX ETF with the SEC, signaling growing institutional demand for tradable exposure. This comes at a time when Avalanche's demand base is rapidly broadening as liquidity and usage climb together. **Stablecoin growth on AVAX has accelerated** with strong 30-day momentum, expanding the chain's settlement liquidity for trading and payments, while transactions accelerate faster than unique users—evidence that **activity per address is rising** (Chart 3, 4). We think this is the right mix for sticky TVL: deeper dollar liquidity plus higher utilization per user tends to anchor capital during volatility rather than chase it away.

Chart 3. Stablecoin supply momentum on Avalanche

Chart 4. DAU growth versus total transactions on Avalanche

Moreover, **liquidity depth and trade velocity are also rising together on Avalanche**, reinforcing the durability of the recent activity upswing. TVL has reached three-year highs into September while DEX volumes have surged near all-time highs—an indication that liquidity is not just parking onchain but cycling through onchain products (Chart 5).

Chart 5. Avalanche TVL versus DEX volumes

Cross-chain inflows are returning as the ecosystem reduces friction for external capital. After a brief soft patch, net bridge flows have begun to print positive again, aligning with integrations that lower the cost of moving liquidity into AVAX—most notably the [Avail Nexus](#) rollout that unifies balances across chains and trims reliance on conventional bridges (Chart 6). In the presence of an ETF catalyst that broadens the buyer set, we think healthier bridge inflows can precede thicker DEX books and more stable funding for DeFi strategies.

Chart 6. Net bridge volume on Avalanche

Real-world asset tokenization now contributes meaningful balance-sheet heft on AVAX. Tokenized asset value jumped sharply with a burst in 30-day momentum, driven by Grove's \$250M onchain credit [launch](#) with Centrifuge and Janus Henderson (Chart 7). The deployment arrives atop a growing roster—Apollo's ACRED, WisdomTree's tokenized funds, KKR's Healthcare Growth Fund, and money-market products from BlackRock, Franklin Templeton, and VanEck.

We think AVAX has attracted institutional attention due to a series of upgrades and chain features. Avalanche offers sub-second finality for predictable settlement, a requirement for fund operations that must reconcile quickly across venues, while the [Octane upgrade](#) cut C-

Chain gas costs and improved dynamic fee behavior to better absorb demand spikes. Under the hood, the [Firewood state database](#) targets high-throughput, low-latency state access to keep performance stable as asset registries and transfer volumes grow. With the new Avail Nexus integration, capital can move across subnets and external chains with less bridging friction, improving distribution, market-making, and collateral reuse. Together, we think these design choices have made Avalanche an attractive choice for RWA flows.

Chart 7. Tokenized asset value held on Avalanche

We think **overall fundamentals appear positive but still warrants respect for positioning risk**. Open interest in AVAX perps has risen to new highs while funding skews positive—but not extreme. We think this mix can amplify upside if momentum takes over, but it can also sharpen drawdowns if a macro shock or liquidation cascade hits (Chart 8). This week’s liquidations served as an expensive reminder to be cautious amidst the highly leveraged perps market.

In a constructive backdrop—rising stablecoin liquidity, returning bridge inflows, and institutional catalysts—we think elevated open interest can accompany trend continuation, but risk management around macro event windows remains critical.

Chart 8. Avalanche open interest versus perpetual funding rates

DeFi in a snapshot

TVL growth across most chains and protocols has fallen from late-summer highs, marking a shift from broad expansion to selective consolidation. Over the past month, 30-day TVL gains across most ecosystems have cooled towards flat, which we think suggests that earlier growth spurts have normalized and fresh deposits are rotating more selectively rather than flooding system-wide (Chart 9, 10).

Chart 9. 30D TVL growth by chain

Chart 10. 30D TVL growth by protocol

Meanwhile, DEX activity keeps scaling even as TVL growth slows, underscoring crypto’s utility as a trading and speculation rail. Uniswap and PancakeSwap still anchor spot flow, but share whipsaws as liquidity chases the day’s trending pairs across chains. In our view, execution quality, routing, token-deployer incentives, and fast pair availability trump venue branding, so volumes reallocate quickly with narratives. This divergence—robust DEX volumes despite lackluster TVL growth—makes DEX rails especially attractive to investors and builders: capital can migrate in hours, fee opportunity remains high, and recent surges in new DEXs

show how a nimble venue with the right coverage and execution can rapidly capture flow from incumbents.

Chart 11. DEX volume market share (Top 5) and total trailing 30-day average DEX volumes

Crypto & Traditional Overview

(Prices as of 4pm EDT, Sep 25 and ETF flows as of 4pm EDT, Sep 24)

Source: Bloomberg and TradingView

Coinbase Exchange & CES Insights

The crypto market is on the backfoot this week, with the COIN50 index down 8%. The selloff has largely ETH long positioning, as evidenced by perp funding rates trading near flat. Meanwhile, derivative traders have used the recent weakness to add long exposure to BTC and SOL, with funding rates for those assets ticking up to the mid-to-high single digits.

In the options market, 1M BTC skew (put-call) has softened as spot has traded lower and a number of bullish structures, both long calls and short puts, have been executed.

Financing Rates

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